10. Income taxes

We are domiciled in the USVI and under current USVI law are obligated to pay taxes in the USVI on our income. We applied for tax benefits from the USVI Economic Development Commission and received our certificate of benefits ("the Certificate"), effective as of February 1, 2013. Pursuant to the Certificate, so long as we comply its provisions, we will receive a 90% tax reduction on our USVI-sourced income until 2043. For the year ended December 31, 2016, approximately 73% of our taxable income was considered USVI-sourced and, thus, was eligible for the 90% tax reduction.

For the year ended December 31, 2016, AAMC had income from AAMC Cayman SEZC Ltd., a Cayman entity disregarded for USVI tax purposes and from RESI dividends that were not eligible for the 90% tax reduction.

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Prior to January 1, 2016, our income tax expense and accruals included those of RESI. During the year ended December 31, 2015, RESI qualified as a REIT, distributed the necessary amount of taxable income and, therefore, incurred no federal income tax expense; accordingly, the only federal income taxes included in the accompanying consolidated financial statements are in connection with its taxable REIT subsidiary.

The following table sets forth the components of income (loss) before income taxes:

	Year ended December 31, 2016	Year ended December 31, 2015	Year ended December 31, 2014
U.S. Virgin Islands	$ (3,721)	$ (1,249)	$ 70,670
Other	492	(1,687)	(8,895)
(Loss) income before income taxes	$ (3,229)	$ (2,936)	$ 61,775

The following table sets forth the components of our deferred tax assets:

	December 31, 2016	December 31, 2015
Deferred tax assets:		
Stock compensation and other	$ 880	$ 531
Accrued expenses	475	387
Real estate and mortgage loan fair value adjustments	—	1,492
Available-for-sale securities	1,027	—
Other	21	6
Net operating loss	—	21,592
	2,403	24,008
Deferred tax liability:		
Depreciation	5	4
	2,398	24,004
Valuation allowance	(2,377)	(23,100)
Deferred tax asset, net	$ 21	$ 904

The following table sets for the reconciliation of the statutory USVI income tax rate to our effective income tax rate:

	Year ended December 31, 2016	Year ended December 31, 2015	Year ended December 31, 2014
U.S. Virgin Islands income tax rate	38.5 %	38.5 %	38.5 %
State and local income tax rates	—	4.7	(0.1)
Excluded REIT income	—	2.6	(27.3)
EDC benefits	(50.7)	(0.7)	(8.9)
Foreign tax rate differential	(1.2)	(3.5)	(2.6)
Permanent and other	2.1	(1.7)	—
Valuation allowance	(41.5)	(40.6)	1.2
Effective income tax rate (1)	(52.8)%	(0.7)%	0.8 %

(1) Prior to our deconsolidation of RESI effective January 1, 2016, our effective tax rate included the activities of RESI.

During the tax years ended December 31, 2016 and 2015, neither we nor Residential recognized interest or penalties associated with unrecognized tax benefits. As of December 31, 2016 and 2015, neither we nor Residential had accrued unrecognized tax benefits or associated interest and penalties.

We remain subject to tax examination in the U.S. Virgin Islands for tax years 2013 to 2016.

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Tax matters agreement

The tax matters agreement with ASPS sets out each party's rights and obligations with respect to deficiencies and refunds, if any, of Luxembourg, U.S. federal, state, local or other foreign taxes for periods before and after our separation from ASPS and related matters such as the filing of tax returns and the conduct of IRS and other audits. In general, under this agreement, we are responsible for taxes attributable to our business incurred after the separation, and ASPS is responsible for taxes attributable to our business incurred prior to the separation.